

Building a New Legacy

S.N. Subrahmanyam is constructing a new L&T that remains true to its core, yet takes on new stripes that make it a more relevant organisation for the times

By **Alokesh Bhattacharyya**

► **THE SCHOLARLY-LOOKING** Sekharipuram Narayanan Subrahmanyam, or SNS as he is popularly called, doesn't convey the archetypal image of the ruthless, snarling, cigar-chomping CEO of a company with gazillions in revenues. And in truth, he is anything but that. His colleagues reveal that SNS is a down-to-earth, simple man, with an eye for detail and on the well-being of his employees, a deep understanding of technology, and a man who does the hard yards—among the first to reach office (when in town), and among the last to leave. Once, while speaking to young employees at a company forum, he stepped off the dais and proceeded to shake more than 200 pairs of hands, and also briefly spoke with each.

He's also a man who you don't meet if you haven't done your homework. And SNS, 61, himself does his homework all the time as he steers the giant, ₹1,35,979-crore (FY21 consolidated revenues) conglomerate Larsen & Toubro (L&T) through the labyrinthine mazes of its business-

es—EPC (engineering, procurement and construction) and projects, high-tech manufacturing, and services—and keeps growth and morale high even in the toughest of times. Indeed, the complexity of an organisation like L&T itself can be overwhelming, and Subrahmanyam's track record made it relatively easy for the jury to declare him the winner in the Infrastructure & Engineering category of the BT-PwC India's Best CEOs ranking. Analysts, too, are gung-ho over the man. "L&T is a professionally run company, and Subrahmanyam has been there for a very long time (he joined in 1984). He has grown with the company and understands its nitty-gritties," says A.K. Prabhakar, Head of Research, IDBI Capital.

Indeed he does. That the company is going strong despite the Covid-19 impact is testimony to Subrahmanyam's leadership skills. Remember that unlike many other companies, L&T needs people on site to execute its projects (it employs close to 300,000 labourers). This past couple of years have seen some significant deals—a \$1-billion contract from Saudi Aramco for an oil field development project, among several other large hydrocarbon orders; the contract to build the first three buildings of the upcoming Central Secretariat in Delhi; several metro orders; two large solar power orders in Saudi Arabia that total 1.7 GW capacity solar power plants, etc. "Today, our backlog of orders is around ₹3.5 lakh crore, which is one of the highest in our history," says Subrahmanyam, the CEO & MD of L&T. "And there's a huge amount of positivity and confidence in the organisation."

Behind the positive, affable pair of eyes, though, lies a business brain as sharp as you can find with a halogen torch. Ever since walking into the corner room in July 2017, Subrahmanyam has overseen several changes. First, the rise of services within the group. The share

Infra & Engineering

S.N. Subrahmanyam

CEO & MD, Larsen & Toubro

Revenue from operations	FY21	73,315.59
	Q3 FY22	21,551.54
Profit before tax	FY21	4,437.77
	Q3 FY22	2,062.19
Profit after tax	FY21	11,336.97
	Q3 FY22	1,670.84
	RoE (%)	20.17
	Market Cap	2,64,948.46

- Standalone results; all figures in ₹ crore except RoE
- M-cap as of February 7
- Source: BSE, ACE Equity